

AC4407

Financial Reporting 1

Winter 2025 Examination

Paper 1 · 1.5 hours · Answer Question 1 in Section A and ONE of two questions in Section B · Total 100 Marks

Module	AC4407 — Financial Reporting 1
Session	Winter 2025
Paper	1 of 1
External Examiner	Dr. Caroline Linhares
Internal Examiner	Mr. Noel Daly
Structure	Section A: Question 1 (Compulsory, 60 Marks). Section B: ONE of Question 2 or Question 3 (40 Marks each).
This scheme covers	Question 1, Question 2 and Question 3 in full, so you can study either Section B route

Quality check. Every calculation in this scheme has been independently verified and cross-checked for accuracy before being written up.

Section A — Question 1 (Compulsory)

60 Marks — Statement of P&L, Statement of Changes in Equity & the Conceptual Framework

Scenario

Extracts from the trial balance of Tiffin Limited at 30 September 2025 (€'000):

Revenue	129,600 (Cr)
Cost of Sales	65,100 (Dr)
Finance costs	3,720 (Dr)
Investment income	360 (Cr)
Operating expenses	40,560 (Dr)
Retained earnings 1 Oct 2024	106,200 (Cr)
Equity share capital (€1 shares) at 1 Oct 2024	36,600 (Cr)
Tax (under/over-provision b/f)	390 (Dr)

Six notes give further detail on inventory, a legal claim, borrowing costs on a self-constructed building, a fraud write-off, the current tax estimate, and a share issue — see each part below for the relevant note worked through.

(a) Required

30 Marks

Prepare the statement of profit or loss for Tiffin Limited for the year ended 30th September 2025, based on the information provided.

FULL MODEL ANSWER

Note 1 — Inventory: lower of cost and net realisable value (IAS 2)

Component	Value
700 units — cost per unit	€4,200
Further costs to sell, per unit	(€1,200)
Selling price per unit	€4,800
Net realisable value per unit = 4,800 – 1,200	€3,600
Write-down needed: NRV (3,600) < Cost (4,200)	(4,200 – 3,600) × 700 units = €420,000

IAS 2 requires inventory to be measured at the lower of cost and net realisable value, item by item (or by group of similar items) — not compared to total inventory cost in aggregate. Only these 700 units fail the test; the remaining inventory (cost €17,100,000 – €2,940,000 = €14,160,000) is unaffected and stated at cost. The €420,000 write-down is charged to Cost of Sales.

Note 2 — Legal claim: provision (IAS 37)

The company's treatment is incorrect: Tiffin recorded 75% of the estimated cost (€2,400,000) as if calculating a probability-weighted expected value. But where an obligation is essentially binary — either the full €3,200,000 is paid (75% probability) or nothing is paid (25% probability) — IAS 37 requires the **most likely outcome** to be used as the best estimate, not a probability-weighted average, since the most likely single outcome (paying in full) has a probability exceeding 50%.

Component	Value
Correct provision (most likely outcome)	€3,200,000
Provision already recorded	(€2,400,000)
Additional expense required (top-up)	€800,000

Question 1 (continued)

FULL MODEL ANSWER

Note 3 — Borrowing costs and depreciation (IAS 23 & IAS 16)

Only 9 months of interest may be capitalised, not 12: IAS 23 requires capitalisation of borrowing costs only for the period during which construction is actively in progress — from 1 October 2024 to completion on 30 June 2025 (9 months). Capitalisation must cease once the asset is complete and ready for use, so the remaining 3 months of interest to 30 September 2025 must be expensed, not capitalised, regardless of when the loan itself continues to run.

Component	Value
Full year's interest ($€76,800,000 \times 10\%$)	€7,680,000
Correctly capitalised (9/12 of the year)	€5,760,000
Excess capitalised in error — reclassify to finance costs	€1,920,000
Corrected capitalised cost of the property ($96,000 - 1,920$)	€94,080,000

Depreciation must be recalculated on the corrected cost: The €1,200,000 depreciation Tiffin recorded for July–September (3 months) was based on the original, overstated €96,000,000 cost. Once the cost is corrected to €94,080,000, depreciation over the 20-year useful life must be reduced accordingly.

Component	Value
Corrected annual depreciation ($94,080 \div 20$ years)	€4,704,000
Corrected depreciation for 3 months (June–Sept)	€1,176,000
Reduction to operating expenses ($1,200 - 1,176$)	€24,000

Net effect of Note 3: finance costs increase by €1,920,000 (the wrongly-capitalised interest, now correctly expensed); operating expenses decrease by €24,000 (the depreciation over-charge, now corrected).

Note 4 — Fraud write-off: current year vs prior period error (IAS 8)

The current-year portion is a current-year expense: The €2,700,000 of fictitious receivables relating to the year ended 30 September 2025 is written off as a bad debt expense through this year's operating expenses.

The prior-period portion is a prior period error under IAS 8: The remaining €4,800,000 relates to earlier accounting periods and represents a material error in previously issued financial statements. IAS 8 requires this to be corrected **retrospectively** by restating the opening balance of retained earnings — it must NOT be charged through this year's profit or loss, since doing so would distort the current year's reported performance with a cost that relates to prior years.

Question 1 (continued)

FULL MODEL ANSWER

Note 5 — Tax

Component	Value
Under-provision brought forward (debit balance in TB)	€390,000
Current year tax estimate	€6,300,000
Total tax charge for the year	€6,690,000

Statement of Profit or Loss — Tiffin Limited, year ended 30 September 2025

	€'000
Revenue	129,600
Cost of sales (65,100 + 420 inventory write-down)	(65,520)
Gross profit	64,080
Operating expenses (40,560 + 800 provision + 2,700 bad debt – 24 depreciation)	(44,036)
Operating profit	20,044
Investment income	360
Finance costs (3,720 + 1,920 reclassified interest)	(5,640)
Profit before tax	14,764
Tax (6,300 + 390 under-provision b/f)	(6,690)
Profit for the year	8,074

Note 6 (the share issue) does not affect the Statement of Profit or Loss at all — issuing shares is purely an equity transaction with no P&L impact. It is dealt with entirely in part (b), the Statement of Changes in Equity.

Mark Allocation — Part (a), 30 Marks

Tier	Marks	What separates this tier
24-30	24-30	All six notes correctly identified and adjusted (inventory NRV, correct IAS 37 provision logic — not a probability-weighted average, borrowing cost/depreciation split, current-year vs prior-period fraud treatment, tax under-provision), with a correctly structured, fully reconciling Statement of Profit or Loss.
16-23	16-23	Most notes correctly adjusted with one or two errors — e.g. the IAS 37 provision left at the probability-weighted €2,400,000 instead of the correct €3,200,000 (a very common own-figure error), or the prior-period fraud portion incorrectly expensed through the current year P&L instead of restated in equity.
8-15	8-15	Basic P&L structure correct (revenue through to profit for the year) but several notes not correctly incorporated, or notes applied but the P&L not correctly laid out under IAS 1 headings.
0-7	0-7	No credible attempt to adjust the trial balance for the notes, or fundamental P&L structure errors.

Section A — Question 1 (Compulsory)

60 Marks — Statement of P&L, Statement of Changes in Equity & the Conceptual Framework

(b) Required

14 Marks

Prepare the statement of changes in equity for Tiffin Limited for the year ended 30th September 2025, based on the information provided.

FULL MODEL ANSWER

	Share Capital	Share Premium	Retained Earnings	Total
Balance at 1 Oct 2024 (as previously stated)	36,600	0	106,200	142,800
Prior period adjustment (Note 4 — fraud, IAS 8)	—	—	(4,800)	(4,800)
Restated balance at 1 Oct 2024	36,600	0	101,400	138,000
Profit for the year	—	—	8,074	8,074
Issue of share capital (Note 6 — 4.5m shares × €5.00)	4,500	18,000	—	22,500
Balance at 30 Sept 2025	41,100	18,000	109,474	168,574

Share issue split. Total proceeds of €22,500,000 (4,500,000 shares × €5.00) must be split between share capital (at the €1 par value: 4,500,000 × €1 = €4,500,000) and share premium (the excess over par: 4,500,000 × €4.00 = €18,000,000). The proceeds sitting in the suspense account in the trial balance must be cleared out to these two equity accounts — leaving it in suspense would be a balance sheet presentation error.

Mark Allocation — Part (b), 14 Marks

Tier	Marks	What separates this tier
11-14	11-14	Correct prior-period restatement of opening retained earnings (linking to Note 4), correct profit for the year brought in (own-figure from part (a)), and correct split of the share issue proceeds between share capital and share premium.
7-10	7-10	Most elements correct but one component missing or wrong — e.g. prior-period restatement omitted, or share issue proceeds not split between capital and premium.
3-6	3-6	Basic structure (opening + profit + closing) shown but neither the prior-period restatement nor the share issue correctly incorporated.
0-2	0-2	No credible attempt at a statement of changes in equity.

Section A — Question 1 (Compulsory)

60 Marks — Statement of P&L, Statement of Changes in Equity & the Conceptual Framework

(c) Required

16 Marks

The Conceptual Framework for Financial Reporting (2018) refers to the qualitative characteristics of financial information. Briefly, outline the four enhancing qualitative characteristics of useful financial information.

FULL MODEL ANSWER

The Conceptual Framework distinguishes two fundamental qualitative characteristics (relevance and faithful representation) from four **enhancing** qualitative characteristics, which improve the usefulness of information that is already relevant and faithfully represented, without themselves being able to make irrelevant or unfaithful information useful:

Comparability: Information is more useful if it can be compared with similar information about other entities, and with similar information about the same entity for another period or date — enabling users to identify and understand similarities and differences between items. This is supported by consistent application of accounting policies over time and across entities.

Verifiability: Verifiability helps assure users that information faithfully represents the economic phenomena it purports to represent — different knowledgeable, independent observers could reach general consensus (though not necessarily complete agreement) that a particular depiction is a faithful representation, either through direct verification (e.g. counting cash) or indirect verification (e.g. checking inputs and recalculating an output using the same methodology).

Timeliness: Timeliness means having information available to decision-makers in time to be capable of influencing their decisions — generally, older information is less useful, although some information may continue to be timely well after the end of a reporting period if, for example, some users need to identify and assess trends.

Understandability: Classifying, characterising, and presenting information clearly and concisely makes it understandable. Financial reports are prepared for users who have a reasonable knowledge of business and economic activities and who review and analyse the information diligently — but even so, understandable presentation and clear language remain important, and complex phenomena should not be excluded merely because they may be difficult for some users to understand.

This is a direct definitional question from the Conceptual Framework (2018) itself, not lecturer- or textbook-specific content — the four enhancing characteristics (comparability, verifiability, timeliness, understandability) are fixed by the Framework and should be stated using this standard terminology, with a brief explanation of each rather than a one-word list, to earn full marks across 16 available marks (i.e. roughly 4 marks per characteristic).

Mark Allocation — Part (c), 16 Marks (4 per characteristic)

Tier	Marks	What separates this tier
4 (per characteristic)	4	Characteristic correctly named AND explained in the candidate's own words with genuine understanding of what it means and why it enhances usefulness.
2-3 (per characteristic)	2-3	Characteristic correctly named with only a partial or superficial explanation.
1 (per characteristic)	1	Characteristic named but not explained, or explanation confuses it with one of the fundamental characteristics (relevance/faithful representation).
0 (per characteristic)	0	Characteristic not identified, or a fundamental characteristic incorrectly listed as enhancing.

Question 1 Total: 60 Marks

Section B — Question 2

40 Marks — Choice question: answer EITHER Question 2 OR Question 3

How to use this scheme. Section B requires ONE of Question 2 or Question 3 — both are marked out of 40 and count equally toward the paper. This scheme covers both in full so you can revise whichever route you are more comfortable with.

Study-Uni

Section B — Question 2

40 Marks — Choice question: answer EITHER Question 2 OR Question 3

Issue A (i) Required

6 Marks

IAS 37 Provisions, Contingent Liabilities and Contingent Assets outlines the accounting treatment of provisions, contingent assets and contingent liabilities. Briefly outline the THREE conditions that must be met in order that a provision can be recognised in the financial statements of an entity.

FULL MODEL ANSWER

Condition	Explanation
1. Present obligation	The entity has a present obligation (legal or constructive) as a result of a past event. A legal obligation arises from a contract, legislation, or other operation of law; a constructive obligation arises from an entity's own past practice, published policies, or sufficiently specific current statement that has created a valid expectation in other parties that it will discharge certain responsibilities.
2. Probable outflow	It is probable (more likely than not — generally interpreted as a greater than 50% chance) that an outflow of resources embodying economic benefits will be required to settle the obligation.
3. Reliable estimate	A reliable estimate can be made of the amount of the obligation. In almost all cases an entity will be able to determine a range of possible outcomes and can therefore make an estimate of the obligation that is reliable enough to use in recognising a provision.

All three conditions must be met simultaneously for a provision to be recognised — if any one condition fails (e.g. the obligation is only possible rather than probable, or no reliable estimate can be made), no provision is recognised, though disclosure as a contingent liability may still be required (see part (b) below).

Mark Allocation — Issue A(i), 6 Marks

Tier	Marks	What separates this tier
6	6	All three conditions correctly identified (present obligation, probable outflow, reliable estimate) with a brief accurate explanation of each.
4-5	4-5	All three conditions named but one explained only superficially, or two fully correct and one missing.
2-3	2-3	One or two conditions correctly identified.
0-1	0-1	No meaningful attempt.

Section B — Question 2

40 Marks — Choice question: answer EITHER Question 2 OR Question 3

Issue A (ii) Required

9 Marks

Mannix Ltd is an international mining company. During the year ended 30 September 2025, Mannix commenced mining for lithium in two mines in two different countries. Mannix has a policy of only rectifying environmental damage when legally required to do so.

Mine	Estimated damage caused by 30 Sept 2025	Clean-up legislation in place at 30 Sept 2025?
1	€6,000,000	Yes
2	€4,500,000	No

- a) Calculate the provision, if any, that should be recognised at 30 September 2025. Provide a brief explanation. (4 Marks)
- b) Define the term "contingent liability" and explain the treatment of contingent liabilities in the financial statements of an organisation. (5 Marks)

FULL MODEL ANSWER

Mine	Obligation?	Provision
1	Legal obligation exists — clean-up legislation is in place, creating a present legal obligation as a result of the mining (past event) already carried out	€6,000,000
2	No legal obligation (no legislation in place) AND no constructive obligation, since Mannix's stated policy is to rectify environmental damage only when legally required — this policy explicitly rules out any constructive obligation arising from an expectation that Mannix will clean up voluntarily	€0

Total provision required at 30 September 2025 = €6,000,000 (Mine 1 only)

Why Mine 2 gets no provision. A company's own policy can create a **constructive** obligation under IAS 37 where it has established a pattern of past practice, published policies, or a sufficiently specific current statement that has created a valid expectation that it will discharge certain responsibilities. Here, Mannix's policy runs the opposite way — it has explicitly stated it will only clean up when legally required — which rules out a constructive obligation for Mine 2 rather than creating one.

b) Contingent liability — definition and treatment

Definition: IAS 37 defines a contingent liability as either (a) a possible obligation arising from past events whose existence will only be confirmed by the occurrence or non-occurrence of one or more uncertain future events not wholly within the entity's control, or (b) a present obligation arising from past events that is not recognised because it is either not probable that an outflow of economic benefits will be required to settle it, or the amount cannot be measured with sufficient reliability.

Treatment: A contingent liability is NOT recognised in the statement of financial position — no liability is recorded and no expense charged. Instead, it is disclosed in the notes to the financial statements (a brief description of the nature of the contingent liability, and where practicable an estimate of its financial effect), unless the possibility of an outflow of economic benefits is remote, in which case no disclosure is required at all.

Mark Allocation — Issue A(ii), 9 Marks (4 + 5)

Tier	Marks	What separates this tier
a) 3-4	3-4	Correct €6,000,000 provision for Mine 1 only, with the legal-vs-constructive-obligation distinction correctly explained for Mine 2.
a) 1-2	1-2	Correct provision amount but explanation weak, or an incorrect provision included/omitted for one mine.
b) 4-5	4-5	Correct, complete definition of contingent liability (both limbs) AND correct treatment (disclosure, not recognition, unless remote).
b) 1-3	1-3	Partial definition or treatment described but not both fully correct.

Section B — Question 2

40 Marks — Choice question: answer EITHER Question 2 OR Question 3

Issue B (i) Required

6 Marks

IAS 10 Events After the Reporting Period details whether events after the end of the reporting period should be adjusted for in the financial statements. Explain the difference between 'adjusting events' and 'non-adjusting events' and give TWO examples of each type of event.

FULL MODEL ANSWER

Type	Definition	Examples
Adjusting events	Events that provide evidence of conditions that existed AT the reporting date. The financial statements ARE adjusted to reflect these events.	(1) A court case settled after the reporting date that confirms an obligation already existed at the reporting date. (2) Bankruptcy of a customer after the reporting date, confirming a trade receivable was already impaired at the reporting date.
Non-adjusting events	Events that are indicative of conditions that arose AFTER the reporting date. The financial statements are NOT adjusted, but material non-adjusting events are disclosed (nature of the event and an estimate of its financial effect).	(1) A major fire or flood damaging assets after the reporting date. (2) A major business combination, or announcement of a plan to discontinue an operation, after the reporting date.

Mark Allocation — Issue B(i), 6 Marks

Tier	Marks	What separates this tier
6	6	Correct distinction (conditions existing at vs after the reporting date) with correct treatment for each, plus two valid examples of each type.
4-5	4-5	Correct distinction with correct treatment, but only one valid example given for one or both types.
2-3	2-3	Distinction attempted but treatment (adjust vs disclose only) not clearly stated, or examples incorrect/mixed up.
0-1	0-1	No meaningful attempt.

Section B — Question 2

40 Marks — Choice question: answer EITHER Question 2 OR Question 3

Issue B (ii) Required**8 Marks**

Rockford Ltd prepares its financial statements for the year end 30th September each year. On 26th October 2025, there was severe flooding following a storm. There was significant damage to the inventory of the company, with an estimated €500,000 of inventory destroyed. Although the company is insured, management believes it will only recover €350,000 from the insurance company. Production will be interrupted temporarily, although the company is confident it can recommence production by the end of October 2025. Rockford has an after-tax profit for the year ended 30 Sept 2025 of €1.8 million. The financial statements are approved on 15th November 2025.

Advise the management of Rockford Ltd on the appropriate accounting treatment of the damage to inventory in the financial statements for the year ended 30th September 2025.

FULL MODEL ANSWER

This is a non-adjusting event: The flood occurred on 26 October 2025 — nearly four weeks AFTER the 30 September 2025 reporting date. It is indicative of a condition (storm damage) that arose after the year end, not evidence of a condition that already existed at 30 September 2025. It must therefore NOT be adjusted for in the recognised amounts in the financial statements — the inventory at 30 September 2025 should remain stated at its pre-flood carrying amount.

Materiality and disclosure: Although not adjusted, the event is clearly material: the estimated net loss (€500,000 damage less €350,000 expected insurance recovery = €150,000 net, or the gross €500,000 damage figure) is significant relative to Rockford's €1.8 million after-tax profit for the year. IAS 10 therefore requires disclosure in the notes of the nature of the event and an estimate of its financial effect (or a statement that such an estimate cannot be made, if that were the case here — though a reasonable estimate is available).

Going concern is not affected: Because Rockford is confident production can recommence by the end of October 2025, this is a temporary interruption rather than an indication that the going concern basis of preparation is no longer appropriate — so the financial statements continue to be prepared on a going concern basis, with disclosure of the flood as described above being the only required action.

A candidate should explicitly recommend: (1) do NOT adjust the 30 September 2025 figures for the inventory loss; (2) DO disclose the nature and estimated financial effect of the flood in the notes, given its materiality; (3) confirm going concern remains appropriate given management's confidence in a swift recommencement of production.

Mark Allocation — Issue B(ii), 8 Marks

Tier	Marks	What separates this tier
7-8	7-8	Correctly identifies this as a non-adjusting event (timing after year end) with no adjustment to recognised figures; correctly recommends disclosure given materiality; addresses going concern.
5-6	5-6	Correctly identifies non-adjusting treatment and recommends disclosure, but materiality/going concern discussion thin.
2-4	2-4	Correctly identifies non-adjusting vs adjusting in principle but reaches the wrong conclusion for this scenario, or omits disclosure recommendation.
0-1	0-1	Incorrectly treats this as an adjusting event (i.e. recommends restating the 30 Sept 2025 inventory value).

Section B — Question 2

40 Marks — Choice question: answer EITHER Question 2 OR Question 3

Issue C (i) Required

6 Marks

IAS 20 Accounting for Government Grants and Disclosure of Government Assistance sets out the accounting treatment of government grants and other forms of government assistance. Discuss the difference between 'revenue' grants and 'capital' grants, briefly describing how each grant is treated in the financial statements.

FULL MODEL ANSWER

Type	What it relates to	Recognition in the financial statements
Revenue grants	Grants that relate to revenue expenditure — i.e. costs or expenses the entity will incur (e.g. a grant toward wages, training costs, or other operating expenditure)	Recognised in profit or loss over the period(s) necessary to match the grant with the related costs it is intended to compensate — e.g. released to income as, and in the same period as, the related expenditure is incurred
Capital grants	Grants that relate to the purchase, construction, or acquisition of a non-current (capital) asset	Recognised in profit or loss over the useful life of the related asset, using either of two permitted presentations: (1) deducting the grant from the asset's carrying amount, so depreciation is calculated on the net (reduced) cost; or (2) recognising the grant as deferred income, released to profit or loss on a systematic basis (e.g. straight-line) over the asset's useful life

Under no circumstances should a grant be credited directly to equity — IAS 20 requires all grants to be recognised in profit or loss on a systematic basis over the periods in which the entity recognises the related costs (revenue grants) or depreciation (capital grants), matching income recognition with the expenditure it is meant to offset.

Mark Allocation — Issue C(i), 6 Marks

Tier	Marks	What separates this tier
6	6	Correct distinction between revenue and capital grants (what each relates to) with correct recognition treatment for each, including at least one of the two capital grant presentation methods.
4-5	4-5	Correct distinction with treatment for one type more developed than the other.
2-3	2-3	Distinction attempted but treatment not clearly linked to matching against related costs/depreciation.
0-1	0-1	No meaningful attempt.

Section B — Question 2

40 Marks — Choice question: answer EITHER Question 2 OR Question 3

Issue C (iii) Required

5 Marks

On 1 October 2024, MacMillan Ltd. received a government grant of €100,000. The conditions of the grant state that MacMillan Ltd must employ at least 10 local workers on full-time contracts over a 5-year period. MacMillan Ltd expects to meet the conditions of the grant.

Show extracts from the Financial Statements of MacMillan Ltd for the year ended 30 September 2025, in respect of the government grant.

FULL MODEL ANSWER

This grant is tied to an employment (revenue expenditure) condition rather than the purchase of a specific asset, so it is a **revenue grant**, recognised systematically over the 5-year period to which the condition relates:

Component	Value
Grant received (1 October 2024)	€100,000
Recognition period	5 years
Annual income recognised (100,000 ÷ 5)	€20,000 per year

Statement of Profit or Loss extract, year ended 30 September 2025

	€
Other income — government grant	20,000

Statement of Financial Position extract, as at 30 September 2025

	€
Non-current liabilities — Deferred government grant income (years 3–5)	60,000
Current liabilities — Deferred government grant income (year 2)	20,000

At 30 September 2025 (end of year 1), €20,000 has been released to income, leaving €80,000 of the grant still deferred. Of this, €20,000 (relating to year 2, the next 12 months) is a current liability, and the remaining €60,000 (relating to years 3–5) is a non-current liability — the standard current/non-current split required whenever deferred income spans more than one year beyond the reporting date.

Mark Allocation — Issue C(iii), 5 Marks

Tier	Marks	What separates this tier
5	5	Correct €20,000 P&L income recognised; correct €80,000 total deferred income split correctly between current (€20,000) and non-current (€60,000) liabilities.
3–4	3–4	Correct €20,000 income recognised but deferred income not split between current/non-current, or split incorrectly.
1–2	1–2	Grant identified as revenue-related but not correctly spread over the 5-year period (e.g. full €100,000 recognised immediately).
0	0	No credible attempt.

Question 2 Total: 40 Marks

Section B — Question 3

40 Marks — Statement of Cash Flows (IAS 7, Indirect Method)

Scenario

Extracts from Collins Limited's financial statements for the year ended 30 September 2025 (with 2024 comparatives), €'000:

	2025	2024
Land and Buildings	142,500	120,000
Plant and Equipment	150,000	90,000
Fixtures and Fittings	337,500	145,500
Inventory	219,750	68,250
Trade receivables	68,700	43,050
Bank and cash	108,900	45,750
Ordinary share capital	396,000	300,000
Share premium	75,900	45,000
Retained earnings	144,750	80,400
Revaluation reserve	23,100	—
7% Loan notes	225,000	—
Trade payables	124,200	50,100
Bank overdraft	7,950	25,200
Tax accrual	30,450	11,850

P&L extract 2025: Operating profit €114,600; Finance cost €(15,750); Profit before tax €98,850; Tax €(34,500); Profit for the year €64,350.

Additional info: Depreciation charged — Buildings €2,400,000; Plant & Equipment €22,500,000; Fixtures & Fittings €30,000,000. Plant & Equipment with NBV €15,000,000 sold for €12,000,000; Fixtures & Fittings with NBV €25,500,000 sold for €27,000,000. Buildings were revalued at 30 September 2025. The loan notes were issued 1 October 2024. No dividends were paid during the year.

(i) Required

35 Marks

Prepare a Statement of Cash Flows for Collins Ltd for the year ended 30th September 2025, in accordance with IAS 7 Statement of Cash Flows, using the indirect method. Show relevant workings.

FULL MODEL ANSWER

Working 1 — Non-current asset additions (cash paid for PPE)

Each asset category is reconciled: Opening NBV + Revaluation (if any) – Depreciation – NBV of disposals + Additions = Closing NBV, solved for the unknown additions figure.

Category	Opening NBV	+ Revaluation	– Depreciation	– Disposal NBV	+ Additions (balancing figure)	= Closing NBV
Land & Buildings	120,000	23,100	(2,400)	—	1,800	142,500
Plant & Equipment	90,000	—	(22,500)	(15,000)	97,500	150,000
Fixtures & Fittings	145,500	—	(30,000)	(25,500)	247,500	337,500

Total cash paid for PPE additions = 1,800 + 97,500 + 247,500 = €346,800

Working 2 — Gain/loss on disposals

Asset	NBV	Proceeds	Gain/(Loss)
Plant & Equipment	15,000	12,000	(3,000) loss
Fixtures & Fittings	25,500	27,000	1,500 gain

Working 3 — Tax paid

Component	Value
Opening tax accrual	11,850
Charge for the year (per P&L)	34,500
Less: closing tax accrual	(30,450)
Tax paid	15,900

Question 3 (continued)

FULL MODEL ANSWER

Statement of Cash Flows — Collins Ltd, year ended 30 September 2025 (indirect method)

	€'000
Cash flows from operating activities	
Operating profit	114,600
Add: Depreciation (2,400 + 22,500 + 30,000)	54,900
Add: Loss on disposal of plant & equipment	3,000
Less: Gain on disposal of fixtures & fittings	(1,500)
Operating profit before working capital changes	171,000
(Increase) in inventory (219,750 – 68,250)	(151,500)
(Increase) in trade receivables (68,700 – 43,050)	(25,650)
Increase in trade payables (124,200 – 50,100)	74,100
Cash generated from operations	67,950
Interest paid	(15,750)
Tax paid (Working 3)	(15,900)
Net cash from operating activities	36,300

	€'000
Cash flows from investing activities	
Purchase of property, plant & equipment (Working 1)	(346,800)
Proceeds from sale of plant & equipment	12,000
Proceeds from sale of fixtures & fittings	27,000
Net cash used in investing activities	(307,800)

	€'000
Cash flows from financing activities	
Proceeds from issue of shares (share capital + share premium movement: 96,000 + 30,900)	126,900
Proceeds from issue of loan notes	225,000
Dividends paid	0
Net cash from financing activities	351,900

	€'000
Net increase in cash and cash equivalents	80,400
Cash and cash equivalents at 1 Oct 2024 (45,750 – 25,200 overdraft)	20,550
Cash and cash equivalents at 30 Sept 2025 (108,900 – 7,950 overdraft)	100,950

Full reconciliation check. The statement's net increase in cash (€80,400,000) reconciles exactly to the actual movement in net cash shown on the balance sheet — from €20,550,000 (net of overdraft) at 1 October 2024 to €100,950,000 at 30 September 2025, an increase of exactly €80,400,000. This is the strongest possible check that every working in this statement — the PPE reconciliations, the disposal gains/losses, the working capital movements, and the tax paid calculation — is internally consistent and correct.

Mark Allocation — Part (i), 35 Marks

Tier	Marks	What separates this tier
28-35	28-35	Correct PPE additions derived for all three categories, correct gain/loss on both disposals, correct working capital movements, correct interest and tax paid, and a fully reconciling statement under the three standard IAS 7 headings (operating, investing, financing).
18-27	18-27	Correct overall structure with two or three component errors — e.g. one PPE addition miscalculated, or the revaluation not correctly excluded from the depreciation/addition reconciliation (own-figure carried through).
9-17	9-17	Operating activities section broadly correct (profit reconciled for depreciation and working capital) but investing and/or financing activities significantly incomplete or incorrect.
0-8	0-8	No credible attempt to reconcile PPE movements or working capital changes; statement does not follow the IAS 7 three-section structure.

Section B — Question 3

40 Marks — Statement of Cash Flows (IAS 7, Indirect Method)

(ii) Required

5 Marks

Briefly explain how the 'Direct Method' of preparing the Statement of Cash Flows differs from the 'Indirect Method'.

FULL MODEL ANSWER

The difference is confined to the operating activities section: IAS 7 permits two methods of presenting cash flows from operating activities. The investing and financing activities sections are identical under both methods — only how the operating section is derived and presented differs.

Direct method: Discloses major classes of gross cash receipts and gross cash payments arising from operating activities — for example, cash received from customers, cash paid to suppliers, and cash paid to and on behalf of employees — either taken directly from the accounting records or derived by adjusting revenue, cost of sales, and other P&L items for the related changes in inventories, receivables, and payables during the period.

Indirect method: Starts from profit or loss for the period (as used throughout this scheme's answer above) and adjusts for the effects of non-cash transactions (such as depreciation and gains/losses on disposal), and for changes in working capital (inventory, receivables, payables), to arrive at net cash from operating activities.

Same result, different presentation: Both methods arrive at exactly the same figure for net cash from operating activities — they are simply two different routes to presenting the same underlying cash flow. IAS 7 encourages entities to use the direct method because it provides information that may be useful in estimating future cash flows and is not available under the indirect method, but in practice the indirect method (as prepared above) is far more commonly used, since it can be derived directly from the statement of profit or loss and statement of financial position without needing to analyse the underlying cash receipts and payments ledger by ledger.

Mark Allocation — Part (ii), 5 Marks

Tier	Marks	What separates this tier
5	5	Correctly explains that the difference is confined to the operating activities section, describes both methods accurately, and notes they produce the same net operating cash flow figure.
3-4	3-4	Correctly describes both methods but does not clearly state that only the operating section differs, or omits that both arrive at the same total.
1-2	1-2	Vague or partial description of one method only.
0	0	No credible attempt.

Question 3 Total: 40 Marks

